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Idea Watch

Boosting Demand in the "Experience Economy"
Nonprofits have been slow to embrace marketing science, but one institution's success shows the potential upside. PLUS How government assistance drives entrepreneurship, the downside to discounting prices, and more

MARKETING BOOSTING DEMAND IN THE "EXPERIENCE ECONOMY"

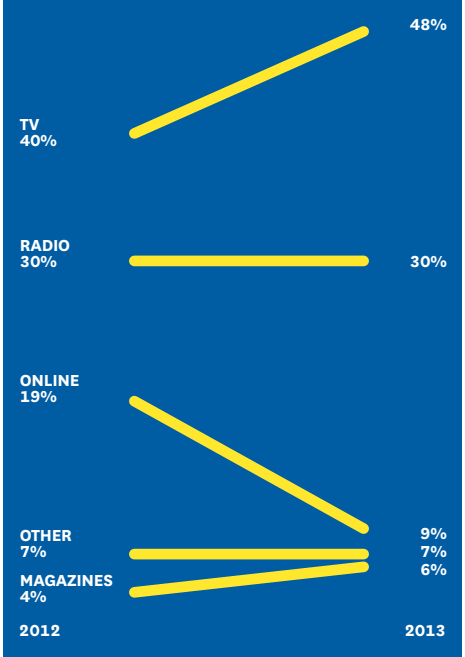
Nonprofits have been slow to embrace marketing science, but one institution's success shows the potential upside.

When Georgia Aquarium opened, in 2005, it was the biggest aquarium in the world. During its first year more than 3.5 million visitors came to see its exhibits, which feature some 120,000 animals spread across 60 habitats in more than 8 million gallons of water. "We didn't have to do any marketing at all," says Carey Rountree, the senior vice president of sales and marketing. "It was a case where you're closing the doors and they're coming in through the windows." Demand was so great that tickets were available by reservation only, and waiting times stretched six months or more.

But that changed within a few years. Attendance dropped precipitously, leveling off in 2008 at about 2 million visitors annually. Revenue fell accordingly. People still loved the aquarium, which even with the drop-off remained one of the most-visited tourist destinations in the state. But all experience-based businesses—aquariums, museums, theme parks, and the like—face this challenge: After an initial rush of traffic, they generally see a decline in attendance as the experience loses its novelty. Even when new exhibits, shows, and other activities are incorporated, the pipeline of first-time visitors slows, and repeat visits become less frequent. Georgia Aquarium conducted a study of other aquariums around the country, which confirmed that this was an industrywide problem. So Rountree knew that the solution wouldn't be a matter of simply adding more attractions.

OPTIMIZING THE MIX

Georgia Aquarium shifted media spending away from online and toward cable TV.



REAPING THE REWARDS

Attendance **+10%**	New pass holders **+12%**
Revenue **+12%**	Pass renewals **+10%**

SOURCE GEORGIA AQUARIUM

As the aquarium grappled with its changing fortunes, Mark Becker, one of its board members, had an idea. Becker, the president of Georgia State University and a statistician by training, suggested bringing in V. Kumar, a Georgia State expert on marketing research and customer engagement. Kumar met with aquarium managers, and together they launched a project they hoped would send more people through the facility's turnstiles.

As they discussed potential strategies, they identified several constraints. The new marketing approach would have to increase revenue without raising ticket prices, because the entrance fee was already one of the highest among aquariums in the country. It would have to boost attendance without compromising visitor satisfaction—no small trick, because typically there's an inverse correlation, with increases in crowd size decreasing the satisfaction of individual guests. And it could not require much new spending, because of the flattened revenue.

To Kumar, the solution to the aquarium's problem involved processes familiar to any business that depends on foot traffic. "The question is not simply How do you bring in more customers?" he says. "It's How do you bring in the *right* customers, and keep them coming back?" The first step, he explains, is to determine who are likely to be your most valuable customers in the future. Once you have identified those people, you can design and deploy a media plan that will help you acquire them.

Kumar's team, which included his Georgia State colleagues Amalesh Sharma and Naveen Donthu, began by finding the top 50 zip codes of the aquarium's visitors and the top 50 zip codes of the season-pass holders who had contributed the highest net revenue over the facility's lifetime. Working with the 40 zip codes that appeared on both lists, the team put together demographic profiles of aquarium visitors and high-spending pass holders (typically married, with two or more children under the age of 14, a household income of at least $50,000, and an affinity for entertainment outside the home). It then identified 39 "look-alike"

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zip codes—areas with high concentrations of residents who resembled the profiles. These areas had new homes and apartments going up and an influx of young people; they proved to be bigger growth markets than the aquarium had anticipated.

The team's next task was to create a plan for going after these potential customers. That required developing a media optimization model that analyzed the known or predicted effectiveness of each type of media on current and potential customers. The model took into account such things as existing data on media performance, macroeconomic factors such as changes in U.S. GDP, ticket prices, visitor satisfaction, and competition from local attractions, and assessed the effect of each on attendance and revenue.

Broadly, the analysis revealed that the aquarium, like many such attractions, relied too heavily on mass media and that a modest increase in overall spending; better targeting of radio, TV, magazine, and outdoor advertising; and a slight decrease in online spending could have a big payoff. All told, the new plan called for a rise in media spending from $2 million (the annual average in 2011 and 2012) to $2.7 million in 2013. That ran counter to the "don't spend more money" constraint, but the board had enough confidence in the plan to approve the budget.

The next question was how to allocate the spending within markets. Many of the recommendations were a distinct departure from the status quo. For instance, the team advised the aquarium to pull its billboards from highways, where large numbers of random people saw them, and place them along less heavily trafficked roads in the newly identified markets. It recommended shifting TV ads from broadcast networks to cable shows popular with the demographic targets and focusing print ads on magazines

A $700,000 increase in media spending created revenue that exceeded predictions by

$8 MILLION

—a nearly 12-fold return on investment.

THE IDEA IN PRACTICE

"THESE APPROACHES ARE CUTTING-EDGE IN OUR BUSINESS"

HBR spoke with Carey Rountree, the senior vice president of sales and marketing at Georgia Aquarium, about the aquarium's recent marketing-strategy overhaul. Edited excerpts follow.

COURTESY OF GEORGIA AQUARIUM

Marketing-science approaches are common in for-profit businesses. What's new here? Experience industries have been slow to understand the importance of marketing. The emphasis has been on the product itself. It's frustrating to see a local museum build a multimillion-dollar exhibit and spend virtually nothing to promote it. They can't understand why nobody comes. The approaches we used are cutting-edge in our business.

What's the lesson for other experience-based organizations? Anyone can identify who the most valuable customers will be, where they live, how they purchase, and what media channels they use. There's a tremendous amount of readily available data and marketing models.

What new talent did you need to implement the plans? We hired a data analyst, who is trend watching, answering our questions, giving us monthly reports, and helping us look at the data much more effectively than we did in the past.

What were the challenges? Rolling this out was relatively straightforward; we're a fairly small organization, and everyone bought in to the program from the start. Also, we weren't spending millions on new programs—we were mostly redirecting existing dollars, with some minor increases. Probably the most difficult piece was determining which media to buy. People's media habits change fast, so you have to be agile.

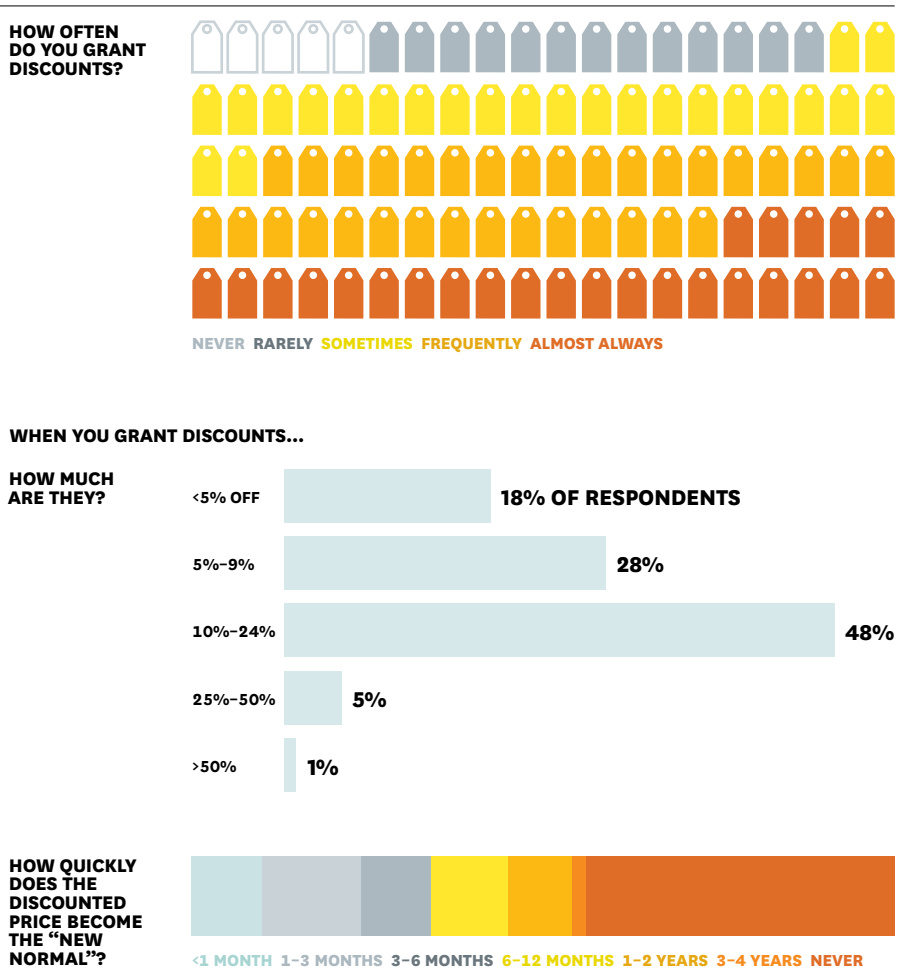
Any unexpected results? We found that 1% or 2% of our pass holders are really big spenders—upward of $3,000 for passes, food, gifts, and so on. We realized that they are potential philanthropic contributors, so we've given their names to our development group. That's a by-product we didn't expect.

with high subscriber rates among them. The plan took into account seasonal fluctuations in attendance and devised monthly budget allocations and media buys accordingly—for example, adding advertising at certain times of the year to encourage visitors to plan in advance. Finally, to simultaneously increase and smooth out attendance, it called for discounted pricing during off-peak hours.

The new plan was implemented in 2013, and it has already had a dramatic impact: Attendance has climbed by 10%, revenue by 12%, the number of new pass holders by 12%, and pass renewals by 10% over projections based on trends through 2012. In raw numbers, the plan turned a $700,000 increase in media spending into revenue that exceeded predictions by $8 million—a nearly 12-fold return on investment.

The aquarium devised strategies to ensure that increased attendance wouldn't diminish the visitor experience. For instance, outside the facility it added jugglers, mimes, and a DJ to entertain people waiting in line, while inside a parade, singers, and other activities encouraged visitors to stay in the atrium longer, thus shortening lines for exhibits. "Despite having more visitors, we actually increased satisfaction by 3% over the previous year," Rountree says. In addition, the perceived value of admission, the likelihood of returning, and café and gift shop purchases all rose.

The framework adopted by Georgia Aquarium—using data analysis and marketing models to identify and acquire valuable *future* customers—is applicable in virtually any consumer industry. Indeed, its basics are probably old hat to many big retailers. The aquarium's implementation shows just how potent a tool the framework can be for experience-based businesses, where the emphasis on creating new offerings is frequently accompanied by neglect of the data-driven marketing required to sustain the business. Kumar says, "With the right marketing-science approach, even conflicting objectives like growing attendance and satisfaction at the same time can be balanced to turn performance around." ▼



SOURCE "THE VALUE OF PRICING DISCIPLINE: A VANTAGE PARTNERS SALES STUDY ON THE IMPACT OF PRICING EXCEPTIONS"

NEGOTIATION
THE DOWNSIDE OF DISCOUNTS

It's a vicious circle familiar to most companies engaged in B2B sales: A customer threatens to move to a competitor unless it gets a discount. So the seller cuts the price, hoping to hold firm the next time—but the precedent makes that even harder to do.

To better understand the dynamics of pricing exceptions, Vantage Partners, a consulting firm that helps clients improve negotiation and customer relationship skills, surveyed 83 senior sales leaders at *Fortune* 500 companies across 11 industries. It found that discounts can quickly erode the average price for *all* customers—so although there are often good reasons to adjust prices in the short term, companies need to think hard about the long-term consequences for pricing power.

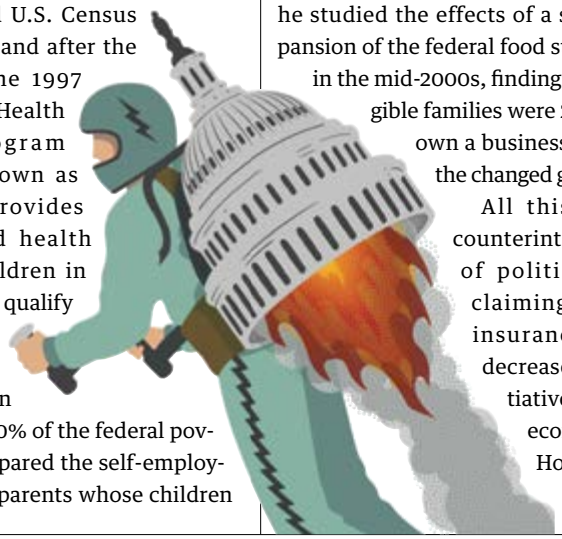
ISTOCKPHOTO

ENTREPRENEURSHIP
HOW GOVERNMENT ASSISTANCE DRIVES START-UPS

Launching a business is risky even in the best of circumstances. Most fledgling ventures fail, and the prospect of forgoing a salary is enough to keep many would-be entrepreneurs from taking the plunge.

Can extending government-funded insurance and subsidies prompt more people to start companies nonetheless? The answer, according to Harvard Business School's Gareth Olds, is yes.

Olds analyzed U.S. Census data from before and after the enactment of the 1997 State Children's Health Insurance Program (SCHIP, now known as CHIP), which provides publicly funded health insurance to children in families that don't qualify for Medicaid but whose incomes fall below a certain level (typically 200% of the federal poverty line). He compared the self-employment rate among parents whose children would have been eligible for the program with the rate among parents of SCHIP recipients and found that it rose from just under 15% to more than 18%—an increase of more than 20%. The rate of ownership of incorporated businesses, which is a better proxy for sustainable, growth-oriented entrepreneurship, jumped even more dramatically, from 4.3% to 5.7%—an increase of more than 30%.



Olds also found that in states that opted to immediately insure immigrant children—rather than impose the five-year waiting period for SCHIP recommended under federal guidelines—self-employment among immigrant parents increased by 20%, while ownership of incorporated businesses increased by 28%. And in a separate analysis he studied the effects of a significant expansion of the federal food stamp program in the mid-2000s, finding that newly eligible families were 20% likelier to own a business as a result of the changed guidelines.

All this may seem counterintuitive in light of political rhetoric claiming that social insurance programs decrease personal initiative and dampen economic growth. However, Olds is not the only researcher to suggest that public subsidies promote entrepreneurship. The RAND Corporation has reported that the self-employment rate among U.S. men increases significantly at age 65. What makes 65 a better time than 64 for people to go into business for themselves? That's the age at which eligibility for health insurance through Medicare kicks in.

The final takeaway from Olds's work is just how many business owners depend on government programs. "Twelve percent of households with incorporated businesses report enrollment in a public program," Olds writes, noting that the number doesn't include people who receive Social Security, Medicare, or veterans' benefits and that "disproportionately more entrepreneurs are receiving public healthcare benefits than would be expected based on their income alone." In an era when new-business creation is lagging in the United States, would-be entrepreneurs can use all the support they can get.

ABOUT THE RESEARCH "Entrepreneurship and Public Health Insurance," by Gareth Olds; "Food Stamp Entrepreneurs," by Gareth Olds; "Does Employer-Based Health Insurance Discourage Entrepreneurship and New Business Creation?" by Robert W. Fairlie, Kanika Kapur, and Susan M. Gates

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Some of these articles previously appeared in different form on HBR.org.

FROM THE ARCHIVE

"**The worth of the American executive, as measured by his pay, has declined** in both relative and absolute terms over the past decade....this pinch on executive pay has perceptibly reduced the incentives in the management job....And, over the longer term, the trend may make it more difficult to attract talented people into management careers."

"THE 'DEVALUATION' OF THE AMERICAN EXECUTIVE," BY DAVID KRAUS (HBR, MAY–JUNE 1976)

THOMAS JAMES